# WHAT SHOULD BE DONE?



**"State funding is an option. But it will make no difference unless the cap on election expenditure, both by candidates and parties, is strictly enforced"**

**– N. GOPALASWAMI**
*15th Chief Election Commissioner of India*



**"The accounts of political parties must be audited by a CAG–appointed panel. There must also be a ceiling on the expenditure by political parties"**

**– NAVIN CHAWLA**
*16th Chief Election Commissioner of India*



**"State funding of elections is the way forward. There should be a National Election Fund to provide a fix sum to a party for every vote secured"**

**– S.Y. QURAISHI**
*17th Chief Election Commissioner of India*

reveal the actual source of the funds, since some contributions are made through "shell corporations", whose owners remain hidden. PACs can collect unlimited contributions and spend unlimited funds. Their independent expenditure now accounts for the largest share of independent political funding. In the 2020 election, PACs accounted for 63 per cent of the $2.6 billion independent expenditure made by political parties and social welfare organisations.

## CAPPING ELECTION FUNDS

One significant means to clean the electoral system is to place a limit on expenditure. Most countries have put such a cap on expenditure by political parties or candidates or both. In the UK, Canada and Israel, there is a limit on expenses by both. In the US, there are curbs on party expenditure but not on candidate expenses. In France and Japan, there is no limit on party expenditure, but candidates must spend within a specified amount. In Brazil, Germany, Norway and Sweden, there are no constraints either on party or candidate.

In India, the ECI has put a cap on expenditure by individual candidates during elections. In 2022, the ceiling on parliamentary poll expenditure was raised from Rs 70 lakh to Rs 95 lakh in bigger states and from Rs 54 lakh to Rs 75 lakh in smaller states. For assembly constituencies, expenditure limits have been enhanced from Rs 28 lakh to Rs 40 lakh in bigger states and from Rs 20 lakh to Rs 28 lakh in smaller states. The ECI mandates that candidates contesting elections must keep a separate and correct account of all expenditure incurred or authorised by them or their election agents. Within 30 days of the declaration of results, the contesting candidate must submit the account of his or her election expenses with the district election officer, failing which the ECI can disqualify the candidate from contesting polls for three years. For example, in 2022, 88 candidates, most of them independents, were disqualified for failing to submit reports.

The ECI can take the same action if the expenditure account is found to be incorrect or untrue. The commission monitors candidate spending in every constituency and keeps an eye on unaccounted-for cash flow. In 2019, cash, drugs/ narcotics, liquor, precious metal (gold, silver etc.) and freebies worth Rs 3,456 crore—nearly 90 per cent of the amount the government officially spent in conducting the 2014 Lok Sabha election—were seized across the country. However, most ECs admit that such recoveries could be just the tip of the iceberg. The ECI's power to seize anonymous funds comes into play only when the code of conduct is announced. But the cash flow begins much in advance. "Politicians know it becomes very difficult once the ECI's code of conduct is in place. So, they move money well in advance, avoiding any scrutiny," says former chief election commissioner (CEC) S.Y. Quraishi. Despite repeatedly complaining that the expenditure limit is very low, winning Lok Sabha candidates in 2019, on paper, spent only 83 per cent of the expense limit of Rs 70 lakh.